

# Value investing: A proven approach to long-term wealth creation



**Palani Dhamodar**  
AMFI Registered Mutual Fund  
Distributor

The legendary Warren Buffett once highlighted the most important aspect of investing: "Price is what you pay, value is what you get." Among the many styles of investing, value remains among the most popular and followed options for investors.

Buying an investment that is available well below its intrinsic value or potential and holding it for the long term to realise substantial gains forms the crux of value investing. However, the task of identifying value isn't that simple.

Value opportunities are identified through various modes including through stringent financial metrics

(various valuation multiples). Contrarian investing, management changes or takeovers, mergers and acquisitions, business cycles also throw up potential value opportunities.

After the market correction over September 2024-March 2025, large cap indices corrected about 15%, while mid and small cap benchmarks fell 20-26%. Despite this correction, valuations (PE multiples) are not cheap and are at best in the neutral zone, with some pockets of opportunities being available for investors.

US trade tariff flip-flops, inflation spikes, geopolitical developments and fluctuations in commodity prices (gold, crude oil, raw materials etc.) are still likely to keep markets in a phase of volatility for the foreseeable future. Therefore, sharpening the process of identifying value, which can be rewarding over the long term, becomes crucial for investors.

## Drilling down for value

The task of identifying value starts with identifying stock prices that are low in relation to their historical performance over the years. More importantly, the decline in price of a stock and its availability at low price must also be seen relative to its earnings, book value and cash flow potential.

There should be flexibility to move across market capitalizations – large, mid and small cap – to identify the right stocks with intrinsic value potential.

The approach must be sector-agnostic and weightages can vary significantly from the underlying benchmark depending on the opportunity available.

The stock picking parameters need to be drilled down further for better results via a few bottom-up steps.

First the financial strength is gauged via margins, revenue and profit growth, capital structure, ability to service debt, cashflow generation, pricing power, return on capital and so on.

Next, business durability can be assessed by studying industry, company and economic cycles and how the company fared in those cycles.

Finally, management behaviour becomes crucial. The ability to steer the company through challenges, capital allocation, corporate governance and sustainability are key factors.

Once a filtered list becomes available, applying measures such as price to earnings, price to book and discounted cash flow would help get the most valued picks.

After the risk-reward payoff of decided, it is important to take substantial positions in the high-conviction picks to derive robust long-term performance benefits.

## Value strategy delivers well over medium and long terms

| Index                  | 1 year | 3 years | 5 years | PE    | PB   |
|------------------------|--------|---------|---------|-------|------|
| Nifty 500 Value 50 TRI | 6.26%  | 30.01%  | 45.00%  | 10.37 | 1.50 |
| Nifty 500 TRI          | 6.37%  | 13.86%  | 26.23%  | 23.54 | 3.73 |
| Nifty 200 Value 30 TRI | 8.66%  | 32.87%  | 44.02%  | 9.70  | 1.52 |
| Nifty 200 TRI          | 6.38%  | 13.31%  | 25.25%  | 22.64 | 3.68 |
| Nifty 50 Value 20 TRI  | 4.56%  | 13.32%  | 25.82%  | 16.26 | 3.28 |
| Nifty 50 TRI           | 6.65%  | 11.75%  | 23.69%  | 21.37 | 3.48 |

CAGR data as of March 31, 2025  
Source: NSE - Created with Datawrapper

The table above clearly shows how the value indices derived from the Nifty 50, Nifty 200 and Nifty 500 delivered much more than these benchmarks over three and five-year timeframes. What's even more important is that valuation metrics such as PE (price to earnings) and PB (price to book) are much lower in the value indices. Therefore, there is more valuation comfort and higher margin of safety.

For a lay investor, however, executing a disciplined value investing strategy can be challenging since it involves analysing various parameters which require expertise, time and emotional resilience. This is where value-oriented mutual funds offer a solution. Managed by professional fund managers having robust research teams, these funds make it easier for investors to tap into the long-term potential of value investing without getting overwhelmed by its complexities.